A1 Appendix

List of Figures

A-1 Observed Vs. Predicted Returns (90 Day Estimation Window) A-6

A-2 Abnormal Returns to Chinese Firms by Manufacturing Location A-7

A-3 Main Results with Long Estimation Windows A-7

A-4 Main Results with LASSO-Weighted Counterfactual A-8

A-5 Main Results with Inverse-Variance Weighting A-8

A-6 OBBA Results with Long Estimation Windows A-9

A-7 OBBBA Results with LASSO-Weighted Counterfactual A-9

A-8 OBBBA Results with Inverse-Variance Weighting A-10

List of Tables

A-1 Firm-level exclusions A-5

A-2 Out-of-sample prediction error by estimation-window length A-11

A-3 Abnormal Returns After Green Industrial Policy Announcement (Figure 1) A-12

A-4 Abnormal Returns to Chinese Firms by Foreign Sales Share (Figure 2) . . A-13

A-5 Abnormal Returns After OBBBA Draft Announcement (Figure 3) A-14

A-6 Abnormal Returns to Chinese Firms by Manufacturing Location (Figure A-2)A-15

A-7 Main Results with Long Estimation Windows (Figure A-3) A-16

A-8 Main Results with LASSO-Weighted Counterfactual (Figure A-4) A-17

A-9 Main Results with Inverse-Variance Weighting (Figure A-5) A-18

A-10 OBBBA Results with Long Estimation Windows (Figure A-6) A-19

A-11 OBBBA Results with LASSO-Weighted Counterfactual (Figure A-7) . . . A-20

A-12 Fit of the factor model and the Lasso counterfactual in the estimation windowA-21

A-13 OBBBA Results with Inverse-Variance Weighting (Figure A-8) A-22

A-14 Alternative Approaches to Inference (Estimation Window $(-60, -5)$) . . . A-23

A1 Discussion of Sample Construction

We construct our firm sample in two steps. First, we identify publicly traded green firms using Bloomberg's Industry Classification Standard (BICS), extracting all firms classified under Bloomberg's renewable energy subsector codes across Chinese, German, and U.S. stock exchanges. Second, we supplement this list with firms identified through a separate Refinitiv/LSEG screen using Thomson Reuters Business Classification (TRBC) codes, retaining any firms present in the LSEG screen but absent from the Bloomberg base. The combined dataset contains 177 firms: 107 listed in China (Shanghai and Shenzhen exchanges), 17 listed in Germany (Frankfurt Stock Exchange), and 53 listed in the United States (NYSE and NASDAQ).

We organize firms into four sectors: Solar, Wind, Infrastructure, and Electric Vehicles. These sectors are constructed from Bloomberg BICS subsector codes and, for firms identified via LSEG, from TRBC codes mapped to their Bloomberg equivalents.

1. **Solar.** The Solar sector includes the full photovoltaic supply chain, from raw feedstock through balance-of-system equipment. We include firms tagged under the following BICS codes: PV Cells, PV Modules, PV Wafers, Thin Film Modules, Polysilicon, Solar Inverters, Solar Plant Construction, and Semiconductor Materials & Equipment (the last category is retained where Bloomberg applied it to firms whose primary business is photovoltaic manufacturing equipment rather than general semiconductors). From the LSEG supplement, firms tagged under the TRBC code "Photovoltaic Solar Systems & Equipment" are assigned to Solar.

2. **Wind.** The Wind sector includes wind turbine manufacturers and their component supply chains. We include firms tagged under the BICS codes Wind Turbines and Wind Turbine Components. From the LSEG supplement, firms tagged under "Wind Systems & Equipment" are assigned to Wind. One firm, ABO Energy GmbH & Co. KGaA (Germany), is classified by Bloomberg as a "Renewable Electricity" operator, which under our default rules would exclude it; however, Refinitiv/LSEG classifies ABO Energy under "Wind Systems & Equipment," and its primary business is the development, construction, and sale of wind and solar projects rather than passive electricity operation. We follow the LSEG classification and assign ABO Energy to Wind.

3. **Infrastructure.** The Infrastructure sector covers energy storage, grid modernisation equipment, and related enabling supply chain. We include firms tagged under the BICS codes Energy Storage Systems, Smart Grid Equipment, Electrical Components & Equipment, Heavy Electrical Equipment, Fuel Cells, and Industrial Machinery & Supplies and Construction & Engineering. From the LSEG supplement, firms tagged under "Renewable Energy Equipment & Services (NEC)" and "Waste to Energy Systems & Equipment" are assigned to Infrastructure. Our Infrastructure sector collapses Bloomberg's Energy Storage and Equipment & Grid categories because the per-cell firm counts for Germany were too small to support separate estimates (two firms in Energy Storage, six in Equipment & Grid).

4. **Electric Vehicles.** The Electric Vehicles sector includes full EV manufacturers and EV-focused supply chain firms. No Bloomberg-base firms carried a BICS code specific to electric vehicles; all EV firms in the sample are drawn from the LSEG supplement, where they are tagged under the TRBC code "Electric (Alternative) Vehicles."

Several Bloomberg BICS categories present in the raw screen are excluded entirely. Firms tagged as "Renewable Electricity" are excluded because they are electricity generators, operators, or project developers rather than equipment manufacturers or supply chain firms; the theoretical mechanism we study—competitive advantage in manufacturing and technology markets—does not apply in the same way to firms whose revenues derive from selling electricity. Firms tagged under fossil fuel categories (Oil & Gas Refining & Marketing, Coal & Consumable Fuels, Petroleum Retailers, Oil & Gas Storage & Transportation) are excluded as out of scope. We additionally exclude Automotive Parts & Equipment, Marine Transportation, Technology Distributors, Semiconductors, Specialty Chemicals, and Building Products, where Bloomberg's sector assignment captures firms with no meaningful renewable energy exposure.

Six firms are excluded despite being tagged under in-scope BICS categories, because inspection of their business descriptions reveals that their renewable energy exposure is incidental rather than primary. Table A-1 lists these firms and the rationale for each exclusion.

Table A-1: Firm-level exclusions

Firm	Country	BICS category	Reason for exclusion
Riyue Heavy Industry	China	Industrial Machinery & Supplies	Generic metal casting and forging; no renewable energy focus evident in business description
Shandong Shuangyi Technology	China	Industrial Machinery & Supplies	Manufactures non-metallic molds across many industries; wind turbine covers are one of many product lines
Aofu Environmental Technology	China	Industrial Machinery & Supplies	Manufactures ceramic products; connection to renewable energy is incidental
Norinco International Cooperation	China	Construction & Engineering	Subsidiary of a large state-owned defense/industrial conglomerate; renewable energy construction is a minor business line
Guangdong Construction Engineering	China	Construction & Engineering	Generic construction conglomerate with broad sector exposure
Runjian Co Ltd	China	Construction & Engineering	Generic construction conglomerate; primary business is general construction

A2 Additional Figures and Tables

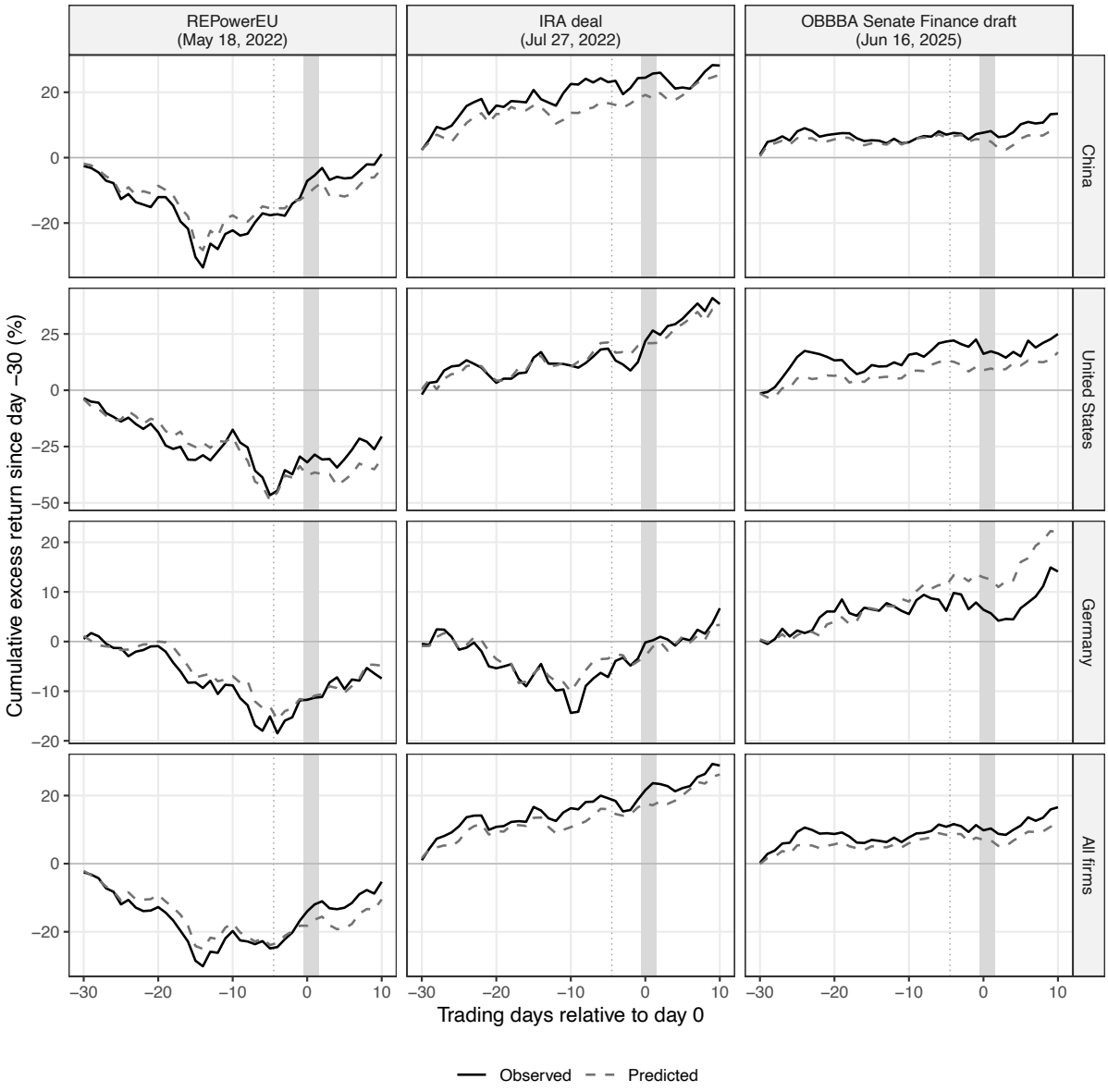


Figure A-1: Observed Vs. Predicted Returns (90 Day Estimation Window)

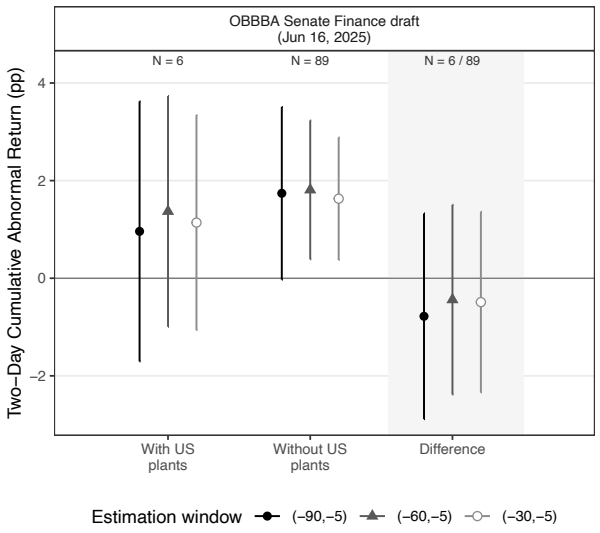


Figure A-2: Abnormal Returns to Chinese Firms by Manufacturing Location

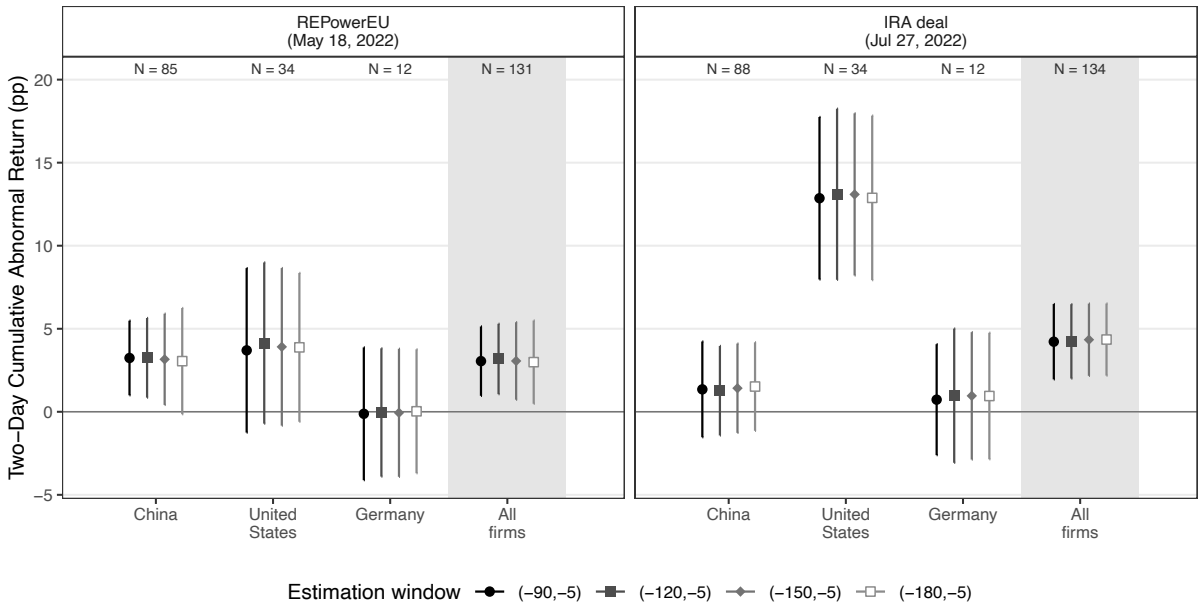


Figure A-3: Main Results with Long Estimation Windows

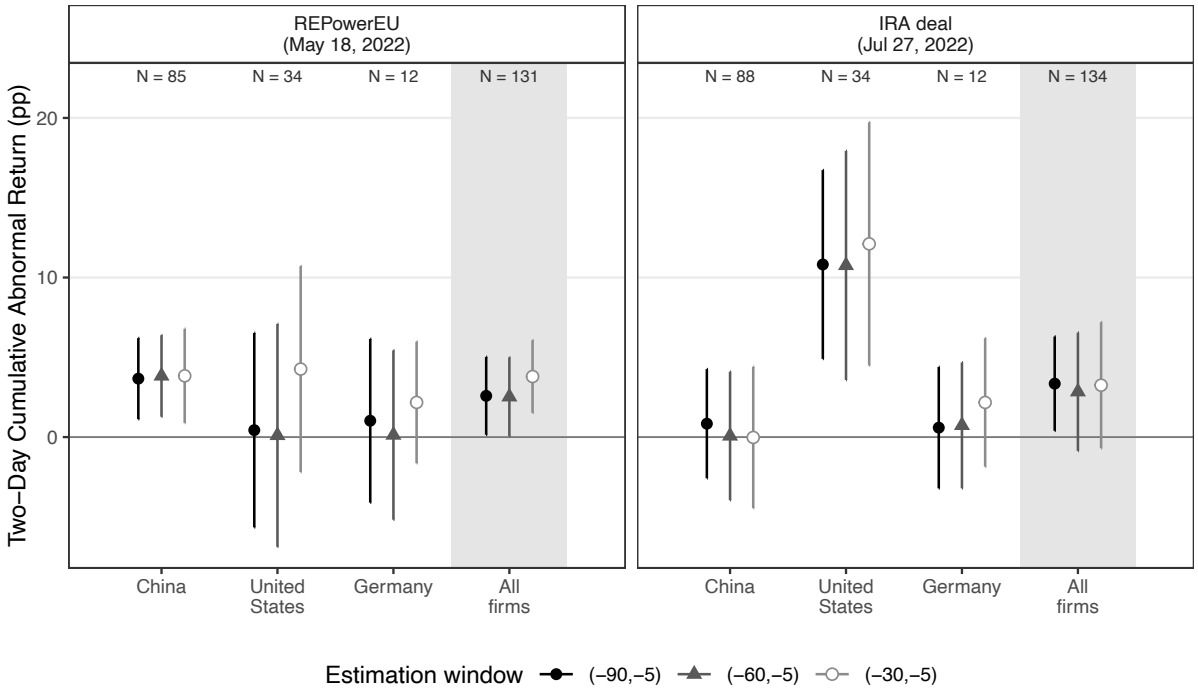


Figure A-4: Main Results with LASSO-Weighted Counterfactual

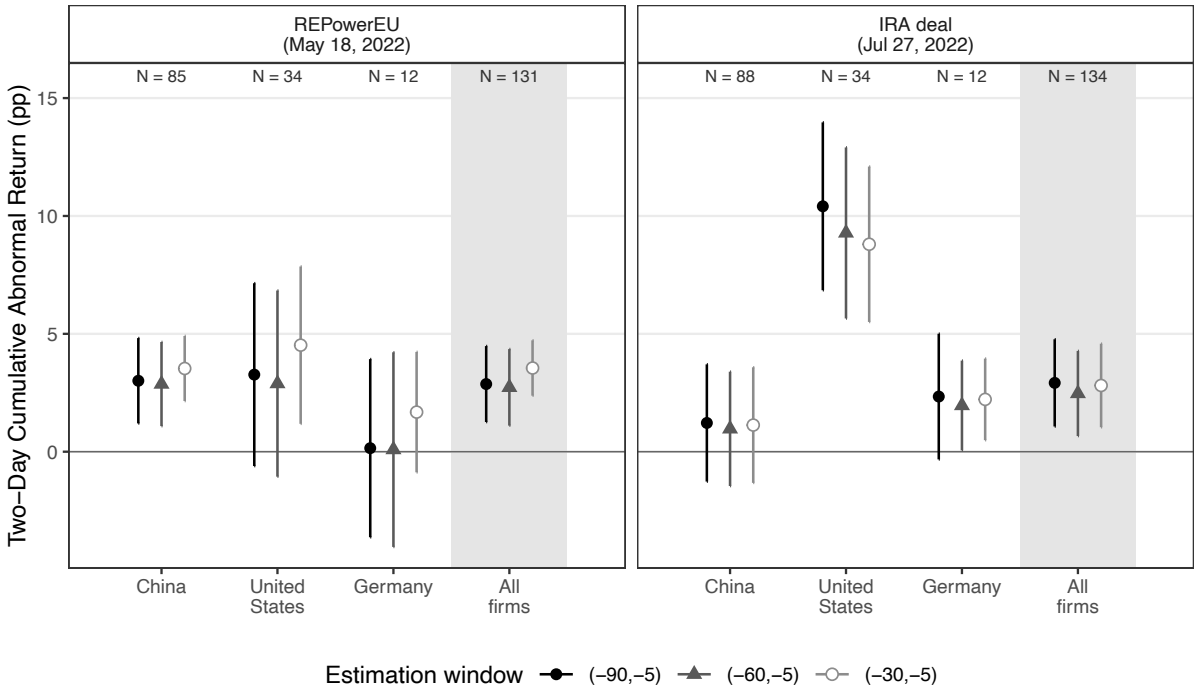


Figure A-5: Main Results with Inverse-Variance Weighting

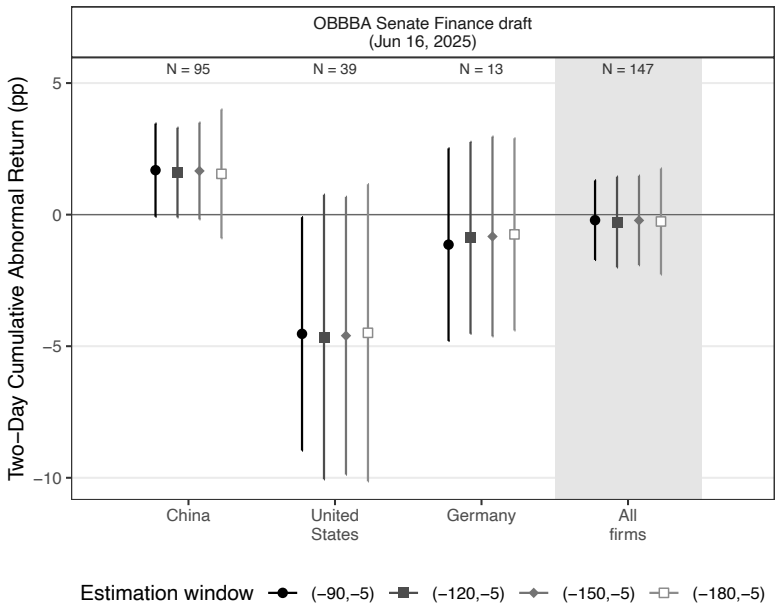


Figure A-6: OBBA Results with Long Estimation Windows

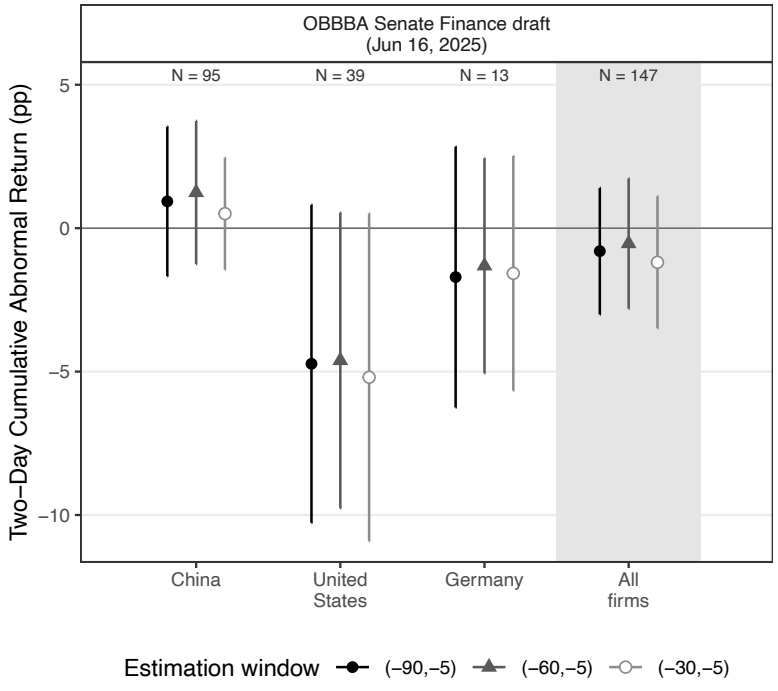


Figure A-7: OBBBA Results with LASSO-Weighted Counterfactual

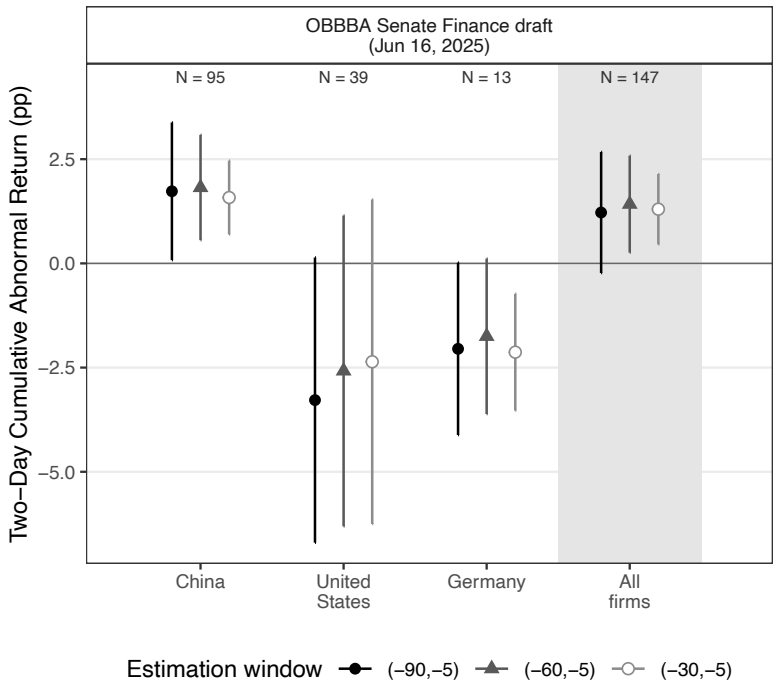


Figure A-8: OBBBA Results with Inverse-Variance Weighting

Table A-2: Out-of-sample prediction error by estimation-window length

	REPowerEU ($N = 124$)			IRA deal ($N = 129$)			Both events ($N = 253$)		
Window	RMSE	Ratio	% better	RMSE	Ratio	% better	RMSE	Ratio	% better
$(-30, -5)$	2.94	1.020	32	3.59	1.046	29	3.18	1.030	31
$(-60, -5)$	2.83	1.004	45	3.41	1.020	31	3.11	1.011	38
$(-90, -5)$	2.82	1.000	—	3.38	1.000	—	3.08	1.000	—
$(-120, -5)$	2.77	1.001	47	3.24	0.993	58	3.04	0.999	53
$(-150, -5)$	2.75	1.000	49	3.24	0.989	57	3.04	0.997	53
$(-180, -5)$	2.75	1.003	48	3.22	0.987	60	3.03	0.997	54

Notes: For each firm, the JKP three-factor model is estimated over each window (trading days relative to day 0) and used to predict daily U.S.-dollar excess returns on the same held-out days: the four days between the end of the estimation window and the event (-4 to -1) and the eight days after the event window ($+2$ to $+10$). RMSE: median across firms of the root-mean-squared prediction error, in percentage points per day. Ratio: median across firms of the firm's RMSE relative to its RMSE with the 90-day window. % better: share of firms whose RMSE is lower than with the 90-day window. N is the number of firms with usable data for all six windows (firm-event pairs for both events).

Table A-3: Abnormal Returns After Green Industrial Policy Announcement (Figure 1)

		Estimation window		
	N	$(-90, -5)$	$(-60, -5)$	$(-30, -5)$
REPowerEU (May 18, 2022)				
China	85	3.24	3.25	3.04
		[0.99, 5.49]	[0.95, 5.55]	[0.82, 5.26]
		$p = 0.005$	$p = 0.006$	$p = 0.009$
United States	34	3.70	2.74	4.39
		[-1.25, 8.65]	[-2.55, 8.03]	[-0.33, 9.11]
		$p = 0.141$	$p = 0.305$	$p = 0.067$
Germany	12	-0.12	0.06	1.65
		[-4.12, 3.88]	[-4.43, 4.55]	[-1.58, 4.88]
		$p = 0.952$	$p = 0.979$	$p = 0.302$
All firms	131	3.05	2.83	3.26
		[0.96, 5.14]	[0.69, 4.97]	[1.47, 5.05]
		$p = 0.005$	$p = 0.011$	$p = 0.001$
IRA deal (Jul 27, 2022)				
China	88	1.35	1.02	0.97
		[-1.53, 4.23]	[-2.01, 4.05]	[-2.63, 4.57]
		$p = 0.352$	$p = 0.500$	$p = 0.585$
United States	34	12.86	12.83	14.82
		[7.97, 17.75]	[7.64, 18.02]	[10.91, 18.73]
		$p < 0.001$	$p < 0.001$	$p < 0.001$
Germany	12	0.73	0.40	0.69
		[-2.61, 4.07]	[-2.69, 3.49]	[-2.91, 4.29]
		$p = 0.664$	$p = 0.795$	$p = 0.696$
All firms	134	4.22	3.96	4.46
		[1.95, 6.49]	[1.50, 6.42]	[1.78, 7.14]
		$p < 0.001$	$p = 0.002$	$p = 0.002$

Notes: Entries are equal-weighted mean two-day cumulative abnormal returns, CAR(0,1), in percent, with 95% confidence intervals in brackets and two-sided p-values below. Intervals and p-values are from the Brown–Warner portfolio test: the standard error is the time-series standard deviation of the group's daily equal-weighted mean abnormal return over the estimation window times $\sqrt{2}$, with a t distribution with degrees of freedom equal to the number of estimation-window days minus one. Firms are weighted equally. Abnormal returns are from firm-level regressions of daily U.S.-dollar excess returns on the Jensen–Kelly–Pedersen market, size, and value factors of each security's listing market, estimated over the window shown (trading days relative to day 0). For REPowerEU, day 0 is May 18, 2022 (May 19 for firms listed in China, where markets had closed before the plan was released). For the IRA deal, day 0 is July 28, 2022 in all markets (the agreement was announced after the U.S. close on July 27). Firms are grouped by headquarters; All firms pools the three countries. N is the number of firms.

Table A-4: Abnormal Returns to Chinese Firms by Foreign Sales Share (Figure 2)

	N	Estimation window $(-90,-5)$	$(-60,-5)$	$(-30,-5)$
REPowerEU (May 18, 2022)				
High foreign sales share	43	4.18	4.24	3.89
		[1.32, 7.04]	[1.33, 7.15]	[1.13, 6.65]
Low foreign sales share	42	2.26	2.24	2.18
		[0.37, 4.15]	[0.30, 4.18]	[0.20, 4.16]
Difference	43 / 42	1.92	2.00	1.71
		[0.05, 3.79]	[0.20, 3.80]	[-0.12, 3.54]
		$p = 0.044$	$p = 0.030$	$p = 0.065$
IRA deal (Jul 27, 2022)				
High foreign sales share	44	1.65	1.30	1.08
		[-1.95, 5.25]	[-2.53, 5.13]	[-3.51, 5.67]
Low foreign sales share	44	1.06	0.74	0.86
		[-1.52, 3.64]	[-2.03, 3.51]	[-2.27, 3.99]
Difference	44 / 44	0.59	0.56	0.22
		[-1.92, 3.10]	[-2.29, 3.41]	[-2.89, 3.33]
		$p = 0.639$	$p = 0.694$	$p = 0.887$

Notes: Chinese firms only. Entries are equal-weighted mean CAR(0,1) in percent for each group and the difference between groups, with 95% confidence intervals in brackets; the two-sided p-value for the difference is shown below it. Group intervals are from the Brown–Warner portfolio test on each group's daily mean abnormal return; the difference uses the same test on the daily difference between the two groups' mean abnormal returns (time-series standard deviation over the estimation window times $\sqrt{2}$; t distribution with degrees of freedom equal to the number of estimation-window days minus one). High (low) foreign-sales share: share of sales outside the home country above (at or below) the median among Chinese firms, from Worldscope for fiscal year 2021, the last fiscal year ending before both events. Firms without the measure are excluded. Abnormal returns are from firm-level regressions of daily U.S.-dollar excess returns on the Jensen–Kelly–Pedersen market, size, and value factors of each security's listing market, estimated over the window shown (trading days relative to day 0). For REPowerEU, day 0 is May 18, 2022 (May 19 for firms listed in China, where markets had closed before the plan was released). For the IRA deal, day 0 is July 28, 2022 in all markets (the agreement was announced after the U.S. close on July 27). N is the number of firms in each group.

Table A-5: Abnormal Returns After OBBBA Draft Announcement (Figure 3)

		Estimation window		
	N	$(-90, -5)$	$(-60, -5)$	$(-30, -5)$
OBBBA Senate Finance draft (Jun 16, 2025)				
China	95	1.69	1.78	1.60
		[-0.08, 3.46]	[0.36, 3.20]	[0.34, 2.86]
		$p = 0.059$	$p = 0.015$	$p = 0.015$
United States	39	-4.53	-4.64	-5.28
		[-8.96, -0.10]	[-8.97, -0.31]	[-9.96, -0.60]
		$p = 0.046$	$p = 0.036$	$p = 0.028$
Germany	13	-1.14	-0.50	0.32
		[-4.80, 2.52]	[-3.55, 2.55]	[-2.77, 3.41]
		$p = 0.535$	$p = 0.743$	$p = 0.830$
All firms	147	-0.21	-0.12	-0.34
		[-1.72, 1.30]	[-1.66, 1.42]	[-1.91, 1.23]
		$p = 0.785$	$p = 0.874$	$p = 0.659$

Notes: Entries are equal-weighted mean two-day cumulative abnormal returns, CAR(0,1), in percent, with 95% confidence intervals in brackets and two-sided p-values below. Intervals and p-values are from the Brown–Warner portfolio test: the standard error is the time-series standard deviation of the group's daily equal-weighted mean abnormal return over the estimation window times $\sqrt{2}$, with a t distribution with degrees of freedom equal to the number of estimation-window days minus one. Firms are weighted equally. Abnormal returns are from firm-level regressions of daily U.S.-dollar excess returns on the Jensen–Kelly–Pedersen market, size, and value factors of each security's listing market, estimated over the window shown (trading days relative to day 0). For the OBBBA Senate Finance draft, day 0 is June 17, 2025 in all markets (the text was released after the U.S. close on June 16). Firms are grouped by headquarters; All firms pools the three countries. N is the number of firms.

Table A-6: Abnormal Returns to Chinese Firms by Manufacturing Location (Figure A-2)

		Estimation window		
	N	$(-90, -5)$	$(-60, -5)$	$(-30, -5)$
OBBBA Senate Finance draft (Jun 16, 2025)				
With US plants	6	0.96	1.37	1.14
		[-1.70, 3.62]	[-0.99, 3.73]	[-1.06, 3.34]
Without US plants	89	1.74	1.81	1.63
		[-0.03, 3.51]	[0.39, 3.23]	[0.37, 2.89]
Difference	6 / 89	-0.78	-0.44	-0.49
		[-2.89, 1.33]	[-2.38, 1.50]	[-2.34, 1.36]
		$p = 0.462$	$p = 0.655$	$p = 0.592$

Notes: Chinese firms only. Entries are equal-weighted mean CAR(0,1) in percent for each group and the difference between groups, with 95% confidence intervals in brackets; the two-sided p-value for the difference is shown below it. Group intervals are from the Brown–Warner portfolio test on each group's daily mean abnormal return; the difference uses the same test on the daily difference between the two groups' mean abnormal returns (time-series standard deviation over the estimation window times $\sqrt{2}$; t distribution with degrees of freedom equal to the number of estimation-window days minus one). With U.S. plants: the firm had announced or was operating at least one U.S. clean-technology manufacturing facility on or before the event date, according to the Clean Investment Monitor (which covers facilities from 2018 onward), plus one hand-coded facility (JA Solar, Arizona). The U.S.- and China-listed shares of JinkoSolar are counted as separate firms. Abnormal returns are from firm-level regressions of daily U.S.-dollar excess returns on the Jensen–Kelly–Pedersen market, size, and value factors of each security's listing market, estimated over the window shown (trading days relative to day 0). For the OBBBA Senate Finance draft, day 0 is June 17, 2025 in all markets (the text was released after the U.S. close on June 16). N is the number of firms in each group.

Table A-7: Main Results with Long Estimation Windows (Figure A-3)

	N	Estimation window $(-90,-5)$	$(-120,-5)$	$(-150,-5)$	$(-180,-5)$
REPowerEU (May 18, 2022)					
China	85	3.24	3.25	3.16	3.05
		[0.99, 5.49]	[0.85, 5.65]	[0.41, 5.91]	[-0.15, 6.25]
		$p = 0.005$	$p = 0.008$	$p = 0.025$	$p = 0.061$
United States	34	3.70	4.14	3.91	3.88
		[-1.25, 8.65]	[-0.71, 8.99]	[-0.83, 8.65]	[-0.60, 8.36]
		$p = 0.141$	$p = 0.094$	$p = 0.105$	$p = 0.089$
Germany	12	-0.12	-0.04	-0.06	0.03
		[-4.12, 3.88]	[-3.90, 3.82]	[-3.91, 3.79]	[-3.70, 3.76]
		$p = 0.952$	$p = 0.985$	$p = 0.977$	$p = 0.988$
All firms	131	3.05	3.18	3.06	2.99
		[0.96, 5.14]	[1.06, 5.30]	[0.73, 5.39]	[0.48, 5.50]
		$p = 0.005$	$p = 0.004$	$p = 0.010$	$p = 0.019$
IRA deal (Jul 27, 2022)					
China	88	1.35	1.27	1.42	1.52
		[-1.53, 4.23]	[-1.42, 3.96]	[-1.27, 4.11]	[-1.14, 4.18]
		$p = 0.352$	$p = 0.354$	$p = 0.298$	$p = 0.261$
United States	34	12.86	13.10	13.09	12.88
		[7.97, 17.75]	[7.95, 18.25]	[8.21, 17.97]	[7.93, 17.83]
		$p < 0.001$	$p < 0.001$	$p < 0.001$	$p < 0.001$
Germany	12	0.73	0.97	0.96	0.95
		[-2.61, 4.07]	[-3.07, 5.01]	[-2.87, 4.79]	[-2.86, 4.76]
		$p = 0.664$	$p = 0.635$	$p = 0.621$	$p = 0.622$
All firms	134	4.22	4.24	4.34	4.35
		[1.95, 6.49]	[2.00, 6.48]	[2.17, 6.51]	[2.18, 6.52]
		$p < 0.001$	$p < 0.001$	$p < 0.001$	$p < 0.001$

Notes: Entries are equal-weighted mean two-day cumulative abnormal returns, CAR(0,1), in percent, with 95% confidence intervals in brackets and two-sided p-values below. Intervals and p-values are from the Brown–Warner portfolio test: the standard error is the time-series standard deviation of the group's daily equal-weighted mean abnormal return over the estimation window times $\sqrt{2}$, with a t distribution with degrees of freedom equal to the number of estimation-window days minus one. Firms are weighted equally. Abnormal returns are from firm-level regressions of daily U.S.-dollar excess returns on the Jensen–Kelly–Pedersen market, size, and value factors of each security's listing market, estimated over the window shown (trading days relative to day 0). For REPowerEU, day 0 is May 18, 2022 (May 19 for firms listed in China, where markets had closed before the plan was released). For the IRA deal, day 0 is July 28, 2022 in all markets (the agreement was announced after the U.S. close on July 27). Firms are grouped by headquarters; All firms pools the three countries. N is the number of firms.

Table A-8: Main Results with LASSO-Weighted Counterfactual (Figure A-4)

	N	Estimation window $(-90,-5)$	$(-60,-5)$	$(-30,-5)$
REPowerEU (May 18, 2022)				
China	85	3.66	3.83	3.84
		[1.12, 6.20]	[1.27, 6.39]	[0.89, 6.79]
		$p = 0.005$	$p = 0.004$	$p = 0.013$
United States	34	0.43	0.10	4.26
		[-5.65, 6.52]	[-6.88, 7.09]	[-2.19, 10.71]
		$p = 0.887$	$p = 0.976$	$p = 0.186$
Germany	12	1.02	0.13	2.17
		[-4.10, 6.15]	[-5.18, 5.43]	[-1.64, 5.98]
		$p = 0.692$	$p = 0.962$	$p = 0.251$
All firms	131	2.58	2.52	3.79
		[0.15, 5.02]	[0.05, 5.00]	[1.52, 6.07]
		$p = 0.038$	$p = 0.046$	$p = 0.002$
IRA deal (Jul 27, 2022)				
China	88	0.84	0.07	-0.02
		[-2.58, 4.26]	[-3.96, 4.10]	[-4.45, 4.41]
		$p = 0.627$	$p = 0.972$	$p = 0.992$
United States	34	10.82	10.76	12.11
		[4.90, 16.73]	[3.58, 17.94]	[4.49, 19.73]
		$p < 0.001$	$p = 0.004$	$p = 0.003$
Germany	12	0.59	0.73	2.17
		[-3.21, 4.39]	[-3.21, 4.68]	[-1.85, 6.19]
		$p = 0.759$	$p = 0.711$	$p = 0.277$
All firms	134	3.35	2.84	3.25
		[0.40, 6.30]	[-0.86, 6.55]	[-0.70, 7.20]
		$p = 0.027$	$p = 0.130$	$p = 0.102$

Notes: Entries are equal-weighted mean two-day cumulative abnormal returns, CAR(0,1), in percent, with 95% confidence intervals in brackets and two-sided p-values below. Intervals and p-values are from the Brown–Warner portfolio test: the standard error is the time-series standard deviation of the group's daily equal-weighted mean abnormal return over the estimation window times $\sqrt{2}$, with a t distribution with degrees of freedom equal to the number of estimation-window days minus one. Firms are weighted equally. Abnormal returns use a Lasso counterfactual in the style of Bayer, Crippa and Genovese (2025): each security's daily local-currency return is regressed on the same-day returns of large stocks in its own listing market (379 Chinese A-shares, 189 German stocks, 581 U.S. stocks; excluding sample firms and energy, utility, electrical-equipment and automobile stocks), with the penalty chosen by five-fold cross-validation, over the estimation window shown (trading days relative to day 0). Estimation-window abnormal returns, which determine the standard errors, are cross-validated (out-of-sample) prediction errors. For REPowerEU, day 0 is May 18, 2022 (May 19 for firms listed in China, where markets had closed before the plan was released). For the IRA deal, day 0 is July 28, 2022 in all markets (the agreement was announced after the U.S. close on July 27). Firms are grouped by headquarters; All firms pools the three countries. N is the number of firms.

Table A-9: Main Results with Inverse-Variance Weighting (Figure A-5)

	N	Estimation window $(-90,-5)$	$(-60,-5)$	$(-30,-5)$
REPowerEU (May 18, 2022)				
China	85	3.01	2.87	3.53
		[1.20, 4.82]	[1.09, 4.65]	[2.15, 4.91]
		$p = 0.002$	$p = 0.002$	$p < 0.001$
United States	34	3.27	2.89	4.52
		[-0.61, 7.15]	[-1.06, 6.84]	[1.18, 7.86]
		$p = 0.096$	$p = 0.150$	$p = 0.010$
Germany	12	0.15	0.09	1.68
		[-3.63, 3.93]	[-4.04, 4.22]	[-0.87, 4.23]
		$p = 0.937$	$p = 0.966$	$p = 0.186$
All firms	131	2.87	2.73	3.55
		[1.26, 4.48]	[1.11, 4.35]	[2.38, 4.72]
		$p < 0.001$	$p = 0.001$	$p < 0.001$
IRA deal (Jul 27, 2022)				
China	88	1.22	0.97	1.13
		[-1.27, 3.71]	[-1.45, 3.39]	[-1.32, 3.58]
		$p = 0.335$	$p = 0.426$	$p = 0.352$
United States	34	10.41	9.28	8.80
		[6.85, 13.97]	[5.65, 12.91]	[5.50, 12.10]
		$p < 0.001$	$p < 0.001$	$p < 0.001$
Germany	12	2.34	1.96	2.22
		[-0.32, 5.00]	[0.06, 3.86]	[0.49, 3.95]
		$p = 0.084$	$p = 0.044$	$p = 0.013$
All firms	134	2.92	2.47	2.81
		[1.07, 4.77]	[0.67, 4.27]	[1.04, 4.58]
		$p = 0.002$	$p = 0.008$	$p = 0.003$

Notes: Entries are inverse-variance-weighted mean two-day cumulative abnormal returns, CAR(0,1), in percent, with 95% confidence intervals in brackets and two-sided p-values below. Intervals and p-values are from the Brown–Warner portfolio test: the standard error is the time-series standard deviation of the group's daily inverse-variance-weighted mean abnormal return over the estimation window times $\sqrt{2}$, with a t distribution with degrees of freedom equal to the number of estimation-window days minus one. Each firm is weighted by the inverse of its estimation-window residual variance. Abnormal returns are from firm-level regressions of daily U.S.-dollar excess returns on the Jensen–Kelly–Pedersen market, size, and value factors of each security's listing market, estimated over the window shown (trading days relative to day 0). For REPowerEU, day 0 is May 18, 2022 (May 19 for firms listed in China, where markets had closed before the plan was released). For the IRA deal, day 0 is July 28, 2022 in all markets (the agreement was announced after the U.S. close on July 27). Firms are grouped by headquarters; All firms pools the three countries. N is the number of firms.

Table A-10: OBBBA Results with Long Estimation Windows (Figure A-6)

		Estimation window			
	N	$(-90,-5)$	$(-120,-5)$	$(-150,-5)$	$(-180,-5)$
OBBBA Senate Finance draft (Jun 16, 2025)					
China	95	1.69	1.60	1.66	1.55
		[-0.08, 3.46]	[-0.10, 3.30]	[-0.18, 3.50]	[-0.90, 4.00]
		$p = 0.059$	$p = 0.065$	$p = 0.078$	$p = 0.212$
United States	39	-4.53	-4.65	-4.60	-4.49
		[-8.96, -0.10]	[-10.06, 0.76]	[-9.88, 0.68]	[-10.13, 1.15]
		$p = 0.046$	$p = 0.091$	$p = 0.087$	$p = 0.119$
Germany	13	-1.14	-0.88	-0.83	-0.75
		[-4.80, 2.52]	[-4.52, 2.76]	[-4.62, 2.96]	[-4.40, 2.90]
		$p = 0.535$	$p = 0.635$	$p = 0.666$	$p = 0.686$
All firms	147	-0.21	-0.28	-0.22	-0.26
		[-1.72, 1.30]	[-2.00, 1.44]	[-1.92, 1.48]	[-2.27, 1.75]
		$p = 0.785$	$p = 0.752$	$p = 0.796$	$p = 0.802$

Notes: Entries are equal-weighted mean two-day cumulative abnormal returns, CAR(0,1), in percent, with 95% confidence intervals in brackets and two-sided p-values below. Intervals and p-values are from the Brown–Warner portfolio test: the standard error is the time-series standard deviation of the group's daily equal-weighted mean abnormal return over the estimation window times $\sqrt{2}$, with a t distribution with degrees of freedom equal to the number of estimation-window days minus one. Firms are weighted equally. Abnormal returns are from firm-level regressions of daily U.S.-dollar excess returns on the Jensen–Kelly–Pedersen market, size, and value factors of each security's listing market, estimated over the window shown (trading days relative to day 0). For the OBBBA Senate Finance draft, day 0 is June 17, 2025 in all markets (the text was released after the U.S. close on June 16). Firms are grouped by headquarters; All firms pools the three countries. N is the number of firms.

Table A-11: OBBBA Results with LASSO-Weighted Counterfactual (Figure A-7)

		Estimation window		
	N	$(-90, -5)$	$(-60, -5)$	$(-30, -5)$
OBBBA Senate Finance draft (Jun 16, 2025)				
China	95	0.93	1.24	0.51
		[-1.67, 3.54]	[-1.25, 3.74]	[-1.44, 2.46]
		$p = 0.478$	$p = 0.323$	$p = 0.597$
United States	39	-4.73	-4.61	-5.20
		[-10.27, 0.81]	[-9.77, 0.54]	[-10.91, 0.51]
		$p = 0.093$	$p = 0.078$	$p = 0.073$
Germany	13	-1.70	-1.31	-1.57
		[-6.25, 2.84]	[-5.06, 2.44]	[-5.67, 2.51]
		$p = 0.458$	$p = 0.486$	$p = 0.435$
All firms	147	-0.80	-0.54	-1.19
		[-3.01, 1.40]	[-2.81, 1.73]	[-3.49, 1.11]
		$p = 0.471$	$p = 0.638$	$p = 0.297$

Notes: Entries are equal-weighted mean two-day cumulative abnormal returns, CAR(0,1), in percent, with 95% confidence intervals in brackets and two-sided p-values below. Intervals and p-values are from the Brown–Warner portfolio test: the standard error is the time-series standard deviation of the group's daily equal-weighted mean abnormal return over the estimation window times $\sqrt{2}$, with a t distribution with degrees of freedom equal to the number of estimation-window days minus one. Firms are weighted equally. Abnormal returns use a Lasso counterfactual in the style of Bayer, Crippa and Genovese (2025): each security's daily local-currency return is regressed on the same-day returns of large stocks in its own listing market (379 Chinese A-shares, 189 German stocks, 581 U.S. stocks; excluding sample firms and energy, utility, electrical-equipment and automobile stocks), with the penalty chosen by five-fold cross-validation, over the estimation window shown (trading days relative to day 0). Estimation-window abnormal returns, which determine the standard errors, are cross-validated (out-of-sample) prediction errors. For the OBBBA Senate Finance draft, day 0 is June 17, 2025 in all markets (the text was released after the U.S. close on June 16). Firms are grouped by headquarters; All firms pools the three countries. N is the number of firms.

Table A-12: Fit of the factor model and the Lasso counterfactual in the estimation window

		$(-90, -5)$		$(-60, -5)$		$(-30, -5)$	
	N	FF3	Lasso	FF3	Lasso	FF3	Lasso
A. Out-of-sample (cross-validated) R^2							
REPowerEU (May 18, 2022)							
China	85	0.46	0.43	0.48	0.45	0.50	0.49
United States	34	0.40	0.30	0.33	0.23	0.33	0.28
Germany	12	0.09	0.03	-0.08	-0.01	-0.00	0.08
IRA deal (Jul 27, 2022)							
China	88	0.36	0.31	0.22	0.11	0.06	0.04
United States	34	0.37	0.28	0.42	0.27	0.20	0.03
Germany	12	0.16	0.09	0.27	0.13	0.05	0.02
OBBBA Senate Finance draft (Jun 16, 2025)							
China	95	0.39	0.36	0.49	0.41	0.25	0.23
United States	39	0.10	0.08	0.11	0.10	-0.15	-0.01
Germany	13	0.18	0.17	0.28	0.15	-0.02	-0.05
B. In-sample R^2							
REPowerEU (May 18, 2022)							
China	85	0.52	0.66	0.56	0.81	0.64	0.93
United States	34	0.47	0.64	0.44	0.61	0.51	0.76
Germany	12	0.22	0.28	0.15	0.12	0.29	0.57
IRA deal (Jul 27, 2022)							
China	88	0.42	0.53	0.31	0.38	0.32	0.46
United States	34	0.44	0.64	0.48	0.64	0.45	0.47
Germany	12	0.26	0.33	0.38	0.46	0.28	0.36
OBBBA Senate Finance draft (Jun 16, 2025)							
China	95	0.48	0.69	0.57	0.82	0.53	0.74
United States	39	0.21	0.34	0.20	0.35	0.19	0.51
Germany	13	0.34	0.42	0.36	0.32	0.22	0.18

Notes: Median R^2 across firms in each country, by estimation window (trading days relative to day 0). FF3: firm-level regression of daily U.S.-dollar excess returns on the Jensen–Kelly–Pedersen market, size and value factors of the listing market (our main model). Lasso: regression of daily local-currency returns on large stocks traded in the firm's listing market, penalty chosen by five-fold cross-validation. Both models are fitted on the same estimation-window days. Out-of-sample R^2 uses five-fold cross-validation with the same folds for both models: each day is predicted by the model fitted on the other four folds, and $R^2 = 1 - \sum(y - \hat{y})^2 / \sum(y - \bar{y})^2$. The Lasso's higher in-sample fit reflects overfitting: out of sample it predicts returns less well than the factor model for Chinese firms in every event and window, and for U.S. firms in every case except the OBBBA draft with the 30-day window, where neither model predicts out of sample. Neither model predicts German firms' returns well. N is the number of firms.

Table A-13: OBBBA Results with Inverse-Variance Weighting (Figure A-8)

		Estimation window		
	N	$(-90, -5)$	$(-60, -5)$	$(-30, -5)$
OBBBA Senate Finance draft (Jun 16, 2025)				
China	95	1.73	1.82	1.58
		[0.08, 3.38]	[0.56, 3.08]	[0.69, 2.47]
		$p = 0.039$	$p = 0.006$	$p = 0.001$
United States	39	-3.28	-2.58	-2.36
		[-6.70, 0.14]	[-6.31, 1.15]	[-6.25, 1.53]
		$p = 0.059$	$p = 0.172$	$p = 0.224$
Germany	13	-2.05	-1.75	-2.13
		[-4.12, 0.02]	[-3.61, 0.11]	[-3.53, -0.73]
		$p = 0.053$	$p = 0.064$	$p = 0.004$
All firms	147	1.22	1.42	1.30
		[-0.23, 2.67]	[0.26, 2.58]	[0.46, 2.14]
		$p = 0.098$	$p = 0.017$	$p = 0.004$

Notes: Entries are inverse-variance-weighted mean two-day cumulative abnormal returns, CAR(0,1), in percent, with 95% confidence intervals in brackets and two-sided p-values below. Intervals and p-values are from the Brown–Warner portfolio test: the standard error is the time-series standard deviation of the group's daily inverse-variance-weighted mean abnormal return over the estimation window times $\sqrt{2}$, with a t distribution with degrees of freedom equal to the number of estimation-window days minus one. Each firm is weighted by the inverse of its estimation-window residual variance. Abnormal returns are from firm-level regressions of daily U.S.-dollar excess returns on the Jensen–Kelly–Pedersen market, size, and value factors of each security's listing market, estimated over the window shown (trading days relative to day 0). For the OBBBA Senate Finance draft, day 0 is June 17, 2025 in all markets (the text was released after the U.S. close on June 16). Firms are grouped by headquarters; All firms pools the three countries. N is the number of firms.

Table A-14: Alternative Approaches to Inference (Estimation Window $(-60, -5)$)

		Equal-weighted				Inverse-variance-weighted	
	N	CAR (%)	p portfolio	p empirical	p KP	CAR (%)	p portfolio
REPowerEU (May 18, 2022)							
All firms	131	2.83	0.011	<0.001	0.037	2.73	0.001
China	85	3.25	0.006	<0.001	0.069	2.87	0.002
United States	34	2.74	0.305	0.309	0.362	2.89	0.150
Germany	12	0.06	0.979	0.982	0.932	0.09	0.966
China − United States	119	0.52	0.856	0.909	—	-0.02	0.994
Germany − United States	46	-2.68	0.437	0.382	—	-2.80	0.351
IRA deal (Jul 27, 2022)							
All firms	134	3.96	0.002	<0.001	0.068	2.47	0.008
China	88	1.02	0.500	0.491	0.457	0.97	0.426
United States	34	12.83	<0.001	<0.001	0.036	9.28	<0.001
Germany	12	0.40	0.795	0.782	0.160	1.96	0.044
China − United States	122	-11.80	<0.001	<0.001	—	-8.31	<0.001
Germany − United States	46	-12.43	<0.001	<0.001	—	-7.32	<0.001
OBBBA Senate Finance draft (Jun 16, 2025)							
All firms	147	-0.12	0.874	0.855	0.189	1.42	0.017
China	95	1.78	0.015	0.018	0.028	1.82	0.006
United States	39	-4.64	0.036	0.054	0.105	-2.58	0.172
Germany	13	-0.50	0.743	0.618	0.456	-1.75	0.064
China − United States	134	6.43	0.005	<0.001	—	4.39	0.026
Germany − United States	52	4.14	0.135	0.127	—	0.82	0.709

Notes: Mean CAR(0,1) in percent; JKP country three-factor model, estimation window $(-60, -5)$ trading days relative to $t = 0$ in each listing market. Portfolio: Brown–Warner test using the time-series SD of the (weighted) daily mean abnormal return in the estimation window; differences use the daily difference of country means. Empirical: share of 2-day windows in the estimation period with an absolute CAAR at least as large. KP: Kolari and Pynnönen (2010) cross-correlation-adjusted test (not defined for differences). Inverse-variance weights are $1/s_i^2$ from each firm's estimation-window residual variance.